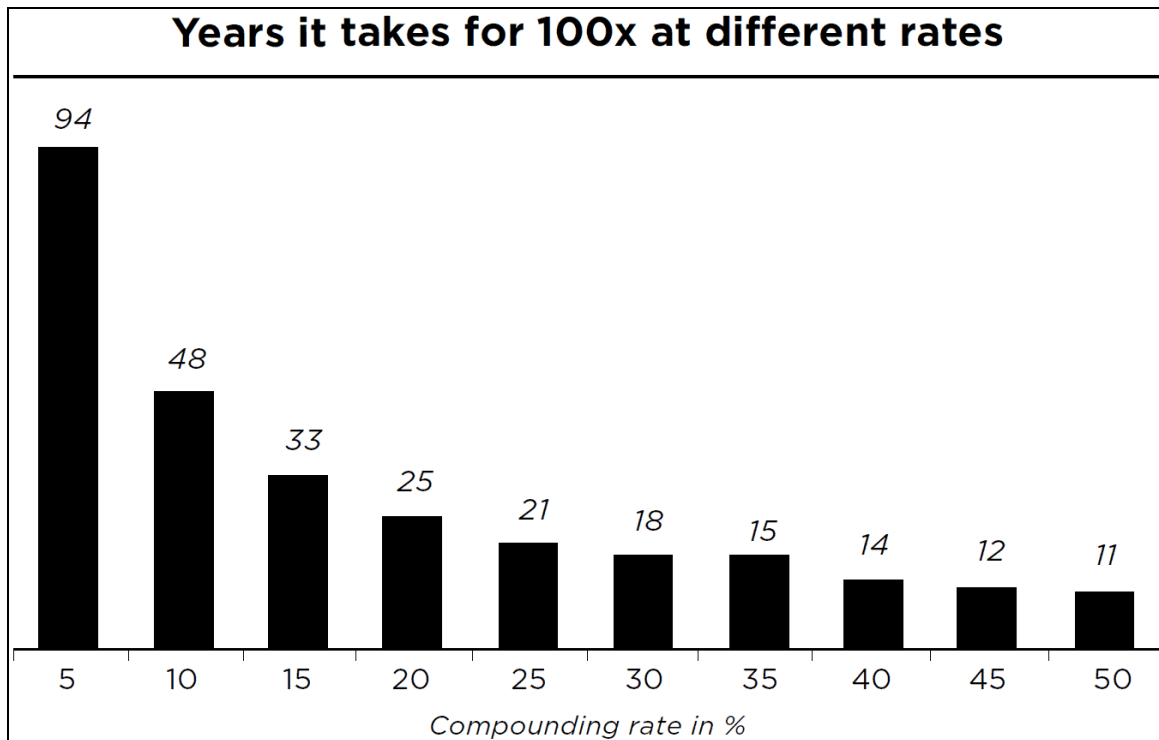




You don't have to hold onto a stock for 20 years to get a 100-bagger.

But the idea is to show you the power of long-term compounding. To harness that power takes some time.

The Oswal study found 47 enduring 100-baggers in India over the past 20 years. It excluded fleeting bubble-like stocks. What's shocking is that the Indian stock market as a whole is a 100-bagger relative to 1979. "The BSE Sensex has a base of 100 for the year 1979," the Oswal report noted. "The Sensex first touched 10,000 in February 2006." That's a 100-bagger in 27 years, or 19 percent annually. As I write, the Sensex is at 27,000.

What I find most interesting are Oswal's conclusions.

After all, the aim here is to apply what we learn from the study to help us find 100-baggers today. Based on my work (and Phelps's), it's easy to agree with Oswal when he wrote the single most important factor "is GROWTH in all its dimensions — sales, margin and valuation."

Most 100-baggers had huge growth curves in these areas. Studying 100-baggers, then, comes down to studying growth: How it happens. And how it endures — as it must to reach the heights of 100-baggerdom. As the chart shows, a 21 percent annual return gets you